

cially in light of the country's enormous digital potential. From an operational perspective, however, the parent group's exit is not entirely surprising due to portfolio challenges and subpar performance compared to other regions. "The local arm's performance was a key reason for taking this massive call, given that they (Sequoia) kept the Europe team. With all those regulatory and governance issues [in India], it could be possible that the US

IN JUNE 2022, SEQUOIA RAISED \$2.85 BILLION TO FUND ITS INVESTMENTS IN INDIA AND SOUTHEAST ASIA, MUCH OF WHICH REMAINS UNUTILISED

team would have thought the portfolio is not well-managed and it is a high-maintenance endeavour," says a senior VC investor in India.

While the split is expected to help level the playing field for Indian VCs, allowing local funds to better attract home-grown talent in the absence of Sequoia's legacy appeal to Indian entrepreneurs, the biggest challenge for Peak XV Partners now lies in fundraising, as its track record in comparison to the US and China has not been as strong, says another veteran VC in India. **BT**

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| OTT WARS |

Free for All

Disney+ Hotstar will air two big cricketing events for free. Can OTT players sustain this strategy?

BY KRISHNA GOPALAN



ILLUSTRATION BY RAJ VERMA

► **DISNEY+ HOTSTAR'S** decision to go free for all its mobile phone subscribers was not entirely unexpected. This comes right after JioCinema aired the Indian Premier League (IPL) without charging its subscribers a single rupee. The strategy is driven by an underlying confidence that the money lost on subscriptions will be recouped through advertising, and marks a new front in the war between the two largest over-the-top (OTT or streaming) platforms in India to grab more eyeballs at any cost—in fact, at no cost to the user.

Disney+ Hotstar has been under pressure for a while now, with falling subscriber numbers and after losing key content such as the HBO catalogue, apart from not being able to renew its content deal with telecom operator Reliance Jio.

It has now decided to offer two big cricketing tournaments, the Asia Cup followed by the ICC Cricket World Cup, for free, with a company statement saying this will benefit "more than 540 million smartphone users across India".

MOUNTING PRESSURE

The moot point is whether Disney+ Hotstar can continue to take the hit. Its subscriber base in India and the rest of Asia stood at 52.9 million at the end of the March quarter, a drop of 8.4 million over six months. A large part of this base—upwards of 80 per cent—comes from India. The pressure is visible in Walt Disney Co.'s falling stock price, sparked by declining OTT subscriber numbers globally. In the past year, it has shed close to 4 per cent, and since February